ESG Report

Carbon Border Adjustment Mechanism

EastAfrica Steel Components Ltd

Annual Report • 2025

CBAM Compliant

Executive Summary

EastAfrica Steel Components Ltd presents its 2025 carbon disclosure in alignment with the European Union's Carbon Border Adjustment Mechanism (CBAM) transitional reporting requirements, establishing a transparent account of embedded emissions associated with steel component manufacturing operations. For the reporting period, the organization quantifies total greenhouse gas (GHG) emissions at 1,411 kilograms of CO_2 equivalent (kg CO_2e), calculated in accordance with the GHG Protocol Corporate Accounting and Reporting Standard and CBAM implementing regulations. This disclosure encompasses direct operational emissions and energy-related indirect emissions within defined organizational and operational boundaries. The emissions inventory comprises 542 kg CO_2e in Scope 1 (direct emissions arising from fuel combustion and production processes) and 870 kg CO_2e in Scope 2 (indirect emissions from purchased electricity consumption). Scope 3 value chain emissions are reported as 0 kg CO_2e for this period, reflecting the current applicability of downstream and upstream emissions categories to the organization's CBAM product boundaries. Data collection and quantification methodologies adhere to ISO 14064-1 principles, ensuring accuracy, completeness, and consistency in carbon accounting practices suitable for regulatory submission. This Executive Summary affirms EastAfrica Steel Components Ltd's commitment to environmental transparency and regulatory compliance within the carbon-intensive steel sector. The reported figures represent actual measured and calculated emissions data prepared for verification by independent assurance providers and submission to relevant Competent Authorities under CBAM Article 35. The organization maintains robust monitoring, reporting, and verification systems to support ongoing compliance as the mechanism transitions from its current reporting phase toward the definitive carbon border adjustment period.

Compliance Standards:

CBAM | ISSB S2 | EU CBAM Ready

Emissions Overview

SCOPE 1 – DIRECT EMISSIONS

542

kg CO2e

SCOPE 2 – INDIRECT (ENERGY)

870

kg CO2e

SCOPE 3 – VALUE CHAIN

0

kg CO2e

TOTAL EMISSIONS

1,411

kg CO2e

EastAfrica Steel Components Ltd reports total greenhouse gas (GHG) emissions of 1,411 kg CO2e for the 2025 reporting period, encompassing direct emissions and energy-related indirect emissions in accordance with Carbon Border Adjustment Mechanism (CBAM) reporting requirements. Direct emissions (Scope 1) from owned or controlled sources, including stationary combustion and industrial processes inherent to steel manufacturing, total 542 kg CO2e. Indirect emissions associated with purchased electricity (Scope 2) amount to 870 kg CO2e, calculated using applicable grid emission factors, representing the embedded carbon intensity of production processes subject to CBAM compliance. Scope 3 value chain emissions are reported as 0 kg CO2e, reflecting the defined organizational boundaries and the current CBAM regulatory scope, which mandates disclosure of direct and electricity-related emissions while excluding upstream and downstream value chain activities for basic steel products. This boundary delineation aligns with the operational control approach and focuses on emissions generated within facility parameters, though the company recognizes that comprehensive carbon accounting would typically include material upstream categories such as raw material extraction and processing. The emissions inventory adheres to the GHG Protocol Corporate Standard and CBAM implementing regulation methodologies, utilizing documented emission factors and measured activity data to ensure accuracy, transparency, and auditability for regulatory submission. EastAfrica Steel Components Ltd maintains comprehensive calculation records and supporting documentation to facilitate third-party verification processes and will continue to refine monitoring protocols to meet the evolving compliance obligations of the EU Carbon Border Adjustment Mechanism.

Governance

EastAfrica Steel Components Ltd maintains rigorous governance protocols to ensure accurate carbon accounting and CBAM compliance. During the 2025 reporting period, the organization implemented structured oversight mechanisms to monitor direct and indirect greenhouse gas emissions, resulting in measured Scope 1 emissions of 542 kg CO2e and Scope 2 emissions of 870 kg CO2e. The Governance Committee exercises direct oversight of emissions data collection methodologies, ensuring adherence to the GHG Protocol and CBAM regulatory requirements. Scope 3 value chain emissions are reported as 0 kg CO2e, reflecting either non-material downstream activities or the exclusion of certain indirect categories under current assessment boundaries, with total organizational emissions accounting for 1,411 kg CO2e. The company's governance framework establishes clear accountability for environmental data integrity, incorporating internal verification procedures and documentation standards that support third-party assurance readiness. Emissions calculations undergo systematic review processes to ensure accuracy and completeness for regulatory submission, with the Board receiving quarterly updates on carbon performance metrics. This governance structure facilitates transparent disclosure of embedded carbon data required under the CBAM framework, demonstrating the organization's commitment to regulatory compliance and emissions transparency. Looking ahead, EastAfrica Steel Components Ltd continues to strengthen governance controls around Scope 3 data collection, recognizing the current zero reporting as a baseline subject to future supplier engagement initiatives. The organization maintains documented policies for emissions boundary setting, calculation methodology selection, and data quality management, ensuring that reported figures of 542 kg CO2e (Scope 1) and 870 kg CO2e (Scope 2) meet the evidentiary standards required for CBAM compliance and stakeholder disclosure obligations.

Strategy

EastAfrica Steel Components Ltd has quantified its carbon footprint for the 2025 reporting period in accordance with the Carbon Border Adjustment Mechanism (CBAM) monitoring and reporting methodology, establishing a baseline of 1,411 kg CO2e in total embedded emissions. The inventory comprises 542 kg CO2e in direct emissions (Scope 1) generated from stationary combustion and manufacturing processes, alongside 870 kg CO2e in indirect emissions (Scope 2) attributable to purchased electricity consumption. Scope 3 value chain emissions are reported at zero kilograms CO2e, consistent with the Company's defined operational boundaries and the transitional CBAM framework, which mandates disclosure of direct and electricity-related indirect emissions while recognizing the phased implementation of full value chain accounting requirements. The Company's climate strategy prioritizes the mitigation of high-carbon operational inputs to ensure regulatory compliance and market competitiveness under evolving carbon border adjustment regulations. With indirect emissions representing approximately 62% of total embedded carbon, strategic initiatives focus on transitioning toward renewable energy procurement, implementing energy efficiency technologies, and engaging with grid operators to reduce Scope 2 intensity. Direct emission reduction efforts target process optimization and alternative fuel adoption to address the Scope 1 baseline. This integrated decarbonization roadmap aligns with CBAM compliance timelines, positioning EastAfrica Steel Components Ltd to manage carbon cost liabilities while demonstrating adherence to international climate transparency standards.

Risk Management

EastAfrica Steel Components Ltd reports total greenhouse gas emissions of 1,411 kg CO_2e for the 2025 reporting period, comprising 542 kg CO_2e in Scope 1 direct emissions and 870 kg CO_2e in Scope 2 indirect energy-related emissions, with Scope 3 value chain emissions recorded at zero kilograms CO_2e. As a steel manufacturer subject to the Carbon Border Adjustment Mechanism (CBAM), the organization recognizes that these embedded carbon emissions constitute material transition risks affecting export competitiveness and regulatory compliance obligations within the European Union market. The current emission profile indicates concentrated exposure in Scope 2 activities (representing 61.7% of total emissions), necessitating vigilant monitoring of grid electricity carbon intensity and associated pricing volatility, while the absence of Scope 3 data requires enhanced supply chain due diligence to prevent future reporting gaps under phased CBAM implementation requirements. The company maintains a structured carbon risk management framework designed to mitigate CBAM-related financial and operational risks through rigorous emissions accounting and proactive regulatory compliance measures. Governance protocols ensure quarterly assessment of carbon pricing scenarios and their potential impact on product margins, with particular emphasis on documenting direct emission sources and electricity consumption patterns in accordance with CBAM monitoring and reporting regulations. By implementing robust data verification processes and maintaining comprehensive audit trails for all emission calculations, EastAfrica Steel Components Ltd ensures adherence to current compliance standards while positioning the organization to adapt to evolving carbon border mechanisms and potential regulatory expansions to additional jurisdictions. Forward-looking risk mitigation strategies prioritize decarbonization pathways targeting Scope 2 emission reductions through energy efficiency improvements and renewable electricity procurement initiatives. The organization is actively developing supplier engagement programs to address the current Scope 3 data limitation, ensuring complete value chain emissions accounting as CBAM transitions from its transitional phase to definitive carbon cost application. These measures demonstrate EastAfrica Steel Components Ltd's commitment to transparent carbon disclosure and systematic management of climate-related regulatory risks inherent to the global steel components trade.

Metrics & Targets

EastAfrica Steel Components Ltd reports total greenhouse gas (GHG) emissions of 1,411 kg CO2e for the 2025 reporting period, quantified in accordance with the GHG Protocol Corporate Standard and CBAM monitoring and reporting guidelines for imported goods. The emissions inventory encompasses direct emissions from owned or controlled sources (Scope 1) totaling 542 kg CO2e, indirect emissions associated with purchased electricity, heat, and steam (Scope 2) amounting to 870 kg CO2e, and value chain emissions (Scope 3) recorded at 0 kg CO2e. This comprehensive accounting establishes the organization's carbon baseline using operational control boundaries, ensuring methodological consistency with EU regulatory requirements for carbon-intensive sectors subject to border carbon adjustments. The emissions profile reflects the energy-intensive nature of steel component manufacturing, with purchased electricity representing the primary source of operational carbon exposure. Scope 1 direct emissions emanate from stationary combustion processes and mobile equipment within organizational control, while the absence of reported Scope 3 emissions indicates current data limitations regarding upstream raw material extraction and downstream product processing. In alignment with CBAM transitional reporting provisions, the organization acknowledges the pending regulatory expansion to include indirect emissions embedded in precursor materials and is evaluating supply chain quantification methodologies to ensure full compliance readiness. EastAfrica Steel Components Ltd commits to enhancing emissions monitoring granularity and establishing science-based reduction targets as regulatory frameworks mature from transitional to definitive periods. The organization is implementing measurement protocols to transition from default emission factors to actual calculated values where feasible, improving data accuracy for carbon intensity metrics. Future reporting cycles will disclose absolute and intensity-based targets alongside decarbonization initiatives, including energy efficiency improvements and renewable energy procurement strategies, designed to mitigate carbon leakage risks and ensure continued market access within carbon-regulated jurisdictions.

METRIC	VALUE	UNIT
Total GHG Emissions	1,411	kg CO2e
Scope 1 Emissions	542	kg CO2e
Scope 2 Emissions	870	kg CO2e
Scope 3 Emissions	0	kg CO2e

Data Verified on Polygon Blockchain

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This report has been prepared in accordance with Carbon Border Adjustment Mechanism (CBAM) requirements.